

Lululemon Athletica Inc.

NASDAQ: LULU Equity Research • Consumer / Apparel



Report Date: 01 February 2026

Exchange: NASDAQ • Currency: USD

HOLD

Current Price **\$210**

Target Price **\$205** (-2.4%)

Risk **Medium**

12–24 months

MARKET DATA

Market Cap	\$25.6 B
Revenue (FY24)	\$10,588 M
Revenue (LTM)	\$11,073 M
Net Income (FY24)	\$1,814 M
Net Income (LTM)	\$1,740 M
LTM EPS	\$14.35
P/E	14.6x
EV / EBITDA (LTM)	8.33x
EV / EBIT (LTM)	9.98x
Beta	1.01

All figures in USD; \$ in millions unless noted.

SHARE PRICE — TRAILING 12 MONTHS



INVESTMENT SUMMARY

Lululemon's recent share-price decline reflects near-term weakness in an otherwise strong business. The premium athleisure market is expected to continue expanding in both the United States and internationally, with markets such as Mainland China offering particularly attractive growth opportunities. Lululemon remains a leader in premium athletic apparel and is well positioned to benefit from these long-term industry trends. However, the company has recently faced weaker performance in its largest market, the Americas, due to intensifying competition and slower product innovation. We view this as a temporary product-cycle challenge rather than a structural deterioration, given Lululemon's established market position, strong brand recognition, and loyal customer base. Based on the current risk-reward profile, we rate the shares **HOLD** with a \$203 price target.

Recent Results & Outlook

Third-Quarter FY2025 Results

The company reported Q3 FY2025 net revenue growth of 7% year over year to \$2.6 billion, driven entirely by strong international performance, which increased 33%, while Americas revenue declined 2%. Comparable sales rose 1% (2% on a constant-currency basis), reflecting a 5% decline in the Americas offset by 18% growth internationally. Despite top-line growth, profitability weakened: gross profit increased 2% to \$1.4 billion, but gross margin contracted 290 basis points to 55.6%. Operating income declined 11% to \$435.9 million, with operating margin compressing 350 basis points to 17.0%. The effective tax rate rose modestly to 30.5%, and diluted EPS declined to \$2.59 from \$2.87 a year earlier. During the quarter the company opened 12 net new company-operated stores, bringing the total store count to 796.

Full-Year Guidance

For full-year fiscal 2025, the company expects net revenue of \$10.96–\$11.05 billion, representing reported growth of approximately 4%, or 5–6% excluding the 53rd week in FY2024. Diluted EPS is guided to \$12.92–\$13.02, based

on an assumed effective tax rate of approximately 30%. Guidance incorporates an estimated \$210 million reduction in operating income, net of mitigation, reflecting management's assumptions around higher U.S. import tariffs and the elimination of the de minimis exemption. Mitigation initiatives include vendor savings and pricing actions, though results remain sensitive to tariff levels, sourcing savings, consumer demand, and the timing of regulatory changes. The outlook excludes any potential future share repurchases.

Company Overview

Lululemon Athletica Inc. is principally a designer, distributor, and retailer of technical athletic apparel, footwear, and accessories marketed under the lululemon brand. Its assortment includes pants, shorts, tops, and jackets designed to support a healthy lifestyle and activities such as yoga, running, and training, as well as apparel for being on the move and fitness-inspired everyday use.

The company operates an integrated omnichannel model that connects online and in-store operations. Customers can purchase online or through a digital app and pick up in store, and store educators can access inventory across locations and arrange for products to be shipped directly to a customer's home or another store. E-commerce orders can be fulfilled from both distribution centers and retail locations, and all inventory is managed through a single, unified pool, allowing efficient allocation across distribution centers, stores, and online demand.

Lululemon operates in over 25 countries and organizes its operations into four regional markets - Americas, Mainland China, Asia Pacific (APAC), and Europe and the Middle East (EMEA). For reporting purposes it reports three operating segments: Americas, Mainland China, and Rest of World (APAC and EMEA combined). The Americas segment represents the company's core business, accounting for approximately **75% of net revenue**, while Mainland China has grown at a sales CAGR of **37.8%** over the past three years.

Strategy & Operating Model

Lululemon's strategy focuses on premium product innovation, brand-led demand, and international expansion, supported by an omnichannel retail model and an asset-light operating structure. The company differentiates itself through technically advanced fabrics, functional design, and a strong connection with its customer community, which together support premium pricing and brand loyalty. Product innovation remains central to maintaining relevance and driving repeat purchases in core categories.

Geographically, Lululemon is prioritizing international growth, with Mainland China identified as a key long-term growth engine; management expects a significant share of future store openings and revenue growth to come from international markets, while the Americas remain the primary profit base. The company also highlights the men's category as a meaningful growth opportunity, alongside expansion into adjacent categories such as accessories and footwear to enlarge its addressable market.

Lululemon operates an outsourced manufacturing model, retaining control over design and quality while limiting capital intensity, a structure that supports high margins and strong returns on invested capital as the business scales globally.

Industry Overview

United States Market

Lululemon operates in the premium athletic-apparel (athleisure) sector, which has grown significantly in recent years. The company faces competitive pressure from two directions: established athletic brands offering similar-quality products at lower price points, such as Nike and adidas; and newer premium competitors offering comparable products at similar price levels, including Vuori, Alo Yoga, and Athleta. (Source: CNN)

The global athleisure market was estimated at **USD 393.7 billion in 2024** and is expected to reach **USD 902.4 billion by 2033**. (Source: Yahoo Finance) In the United States, the market generated **USD 93.5 billion in 2022** and is projected to reach **USD 176.5 billion by 2030**, growing at a CAGR of **8.3%** from 2023 to 2030, with premium athleisure representing a significant portion of that growth. (Source: Grand View Research)

U.S. Macroeconomic Backdrop

- **Cost pressures** remain elevated across the apparel industry due to higher 2025 tariff rates and continued labor and input-cost inflation in major Asian sourcing regions. For Lululemon this is a near-term margin headwind, though the company has historically mitigated such pressure through selective pricing, product mix, and supply-chain efficiencies.
- **Labor markets** softened into year-end: U.S. unemployment reached approximately **4.2% in December 2025**, up from 3.7% in early 2024, with long-term unemployment elevated at roughly 1.9 million — a trend pointing to slower discretionary-spending growth into 2026.
- **Consumer spending** stayed under pressure late in 2025, unevenly across income groups. The University of Michigan Consumer Sentiment Index stood at **52.9 in December 2025**, signaling ongoing caution. Lower- and middle-income households remain most affected, while higher-income consumers, Lululemon's core demographic, have shown greater resilience.
- **Inflation** improved modestly into year-end, with core CPI for November 2025 at **2.6%** (U.S. Bureau of Labor Statistics).

Chinese Market

China's athleisure market has expanded rapidly, supported by urbanization, rising disposable incomes, and an increasing focus on health and wellbeing. The broader Chinese sportswear market was projected to reach approximately **USD 82.8 billion by 2024**, while the yoga-apparel segment alone is expected to reach **USD 3 billion by 2028**, growing at a CAGR of over **9%**.

- **Consumer behavior & preferences.** Chinese consumers typically purchase athleisure every three to six months and exhibit notable price sensitivity, with most spending under USD 55 per purchase. Comfort is the most important purchase factor, followed by price and design. Demand for premium athleisure nonetheless continues to grow in Tier 1 and Tier 2 cities, and over two-thirds of consumers wear athleisure regularly beyond exercise, with a strong preference for domestic brands.
- **Channels & omnichannel retail.** Physical stores remain the primary purchasing channel, followed closely by e-commerce. Successful brands operate strong direct-to-consumer models that integrate offline stores, brand websites, and major Chinese platforms such as Tmall and JD.com.
- **Product & design trends.** Consumers favor simple, modern designs with bright or bold colors alongside functional, sport-specific features. Fabric performance is critical — softness, elasticity, breathability, moisture-wicking, and body-enhancing fits tailored to Asian body types.
- **Competitive landscape.** Lululemon competes in the premium segment via community-based marketing, immersive in-store experiences, and a strong brand identity, and has grown rapidly in China. Domestic brand Maia Active competes through more affordable pricing, Asian-specific fits, and strong social-media engagement, supported by its acquisition by Anta Sports.
- **Outlook.** China's athleisure market is expected to keep growing, supported by lifestyle changes, rising fitness participation, and ongoing omnichannel development. Brands that balance functionality, comfort, localized design, and community engagement while offering a clear value proposition are best positioned.

Competitive Landscape

- **Alo Yoga** — a premium activewear and lifestyle brand at the intersection of performance, fashion, and wellness, targeting affluent, style-conscious consumers. Operates ~100+ company-owned stores globally, concentrated

in major U.S. metros with a growing international presence, plus a strong DTC digital channel that supports high engagement and margins.

- **Vuori** — a performance-lifestyle activewear brand focused on versatility, comfort, and sustainability, targeting young professionals and active adults. Operates ~50–60 stores, mainly in U.S. coastal and lifestyle markets, with a rapidly growing DTC business that represents the majority of sales.
- **Maia Active** — a China-based women's activewear brand focused on fit, functionality, and inclusive sizing for Asian female consumers. Operates dozens of stores across major Chinese cities with a strong domestic e-commerce presence.
- **Athleta** — a Gap Inc. subsidiary; a women's performance and lifestyle brand emphasizing inclusivity, sustainability, and wellness. Operates ~250 stores, primarily in the U.S., targeting adult women seeking functional yet stylish activewear.
- **Nike** — a global athletic apparel and footwear leader with unmatched scale, innovation, and marketing reach. Operates ~1,000+ owned retail locations worldwide across North America, Europe, and Asia, supported by a vast wholesale network and digital ecosystem, spanning elite athletes to everyday consumers.

Financial Statements

lululemon athletica inc.	JAN '05	JAN '06	JAN '07	JAN '08	JAN '09	JAN '10	JAN '11	JAN '12	JAN '13	JAN '14	JAN '15	JAN '16	JAN '17	JAN '18	JAN '19	JAN '20	JAN '21	JAN '22	JAN '23	JAN '24	JAN '25	OCT '25
																						LTM
Sales	\$41	84	149	270	353	453	712	1,001	1,370	1,591	1,797	2,061	2,344	2,649	3,288	3,979	4,402	6,257	8,111	9,619	10,588	11,073
YoY % Growth		106.5%	77.0%	81.3%	30.9%	28.1%	57.1%	40.6%	36.9%	16.1%	12.9%	14.7%	13.8%	13.0%	24.1%	21.0%	10.6%	42.1%	28.6%	18.6%	10.1%	
Americas																	3,778	5,300	6,817	7,632	7,928	
YoY growth																	40%	29%	12%	4%		
China Mainland																	287.7	520.4	691.3	863.8	1,351.3	
YoY growth																	75%	31%	41%	41%		
Rest of World																	326.4	436.3	611.4	1,023.9	1,298.6	
YoY growth																	34%	40%	67%	27%		
COGS excluding D&A a partir de jan 16 cogs con parte de d&a	\$19	39	69	117	159	209	292	401	565	702	825	1,063	1,145	1,250	1,471	1,796	1,939	2,649	3,618	4,010	4,317	4,117
Gross Profit	\$22	45	81	153	195	244	420	600	806	889	972	1,007	1,200	1,399	1,817	2,223	2,464	3,608	4,492	5,609	6,271	6,957
Gross Profit Margin	55%	54%	54%	57%	55%	54%	59%	60%	59%	56%	54%	49%	51%	53%	55%	56%	56%	56%	56%	56%	59%	63%
Depreciation & Amortization Expense	\$1	2	5	8	16	21	25	30	43	49	58	73	88	108	122	162	185	224	252	379	447	485
Depreciation	\$1	2	4	8	15	20	24	29	42	48	57	73	87	108	122	162	180	215	283	374	444	489
Amortization of Intangibles	\$0	0	0	1	1	1	2	1	1	1	1	1	1	1	1	1	5	9	9	5	3	7
SG&A Expense	\$11	26	53	93	116	136	213	282	386	449	538	628	778	904	1,110	1,334	1,609	2,225	2,757	3,397	3,762	4,017
Other Operating Expense	\$12	13	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
EBITDA	(\$3)	6	21	60	72	107	205	317	419	440	434	442	509	564	628	1,051	1,005	1,558	1,620	2,512	2,952	2,940
YoY Growth			243%	182%	21%	48%	91%	55%	32%	5%	-1%	2%	15%	11%	47%	27%	-4%	55%	4%	55%	19%	0%
EBITDA Margin	-1.4%	7.4%	14.3%	22.2%	20.5%	23.7%	28.8%	31.7%	30.6%	27.7%	24.2%	21.5%	21.7%	21.3%	25.2%	26.4%	22.8%	24.9%	20.0%	26.1%	27.9%	26.5%
EBIT (Operating Income)	(\$2)	4	17	52	57	87	180	287	376	391	376	369	421	456	706	889	820	1,333	1,328	2,133	2,606	2,445
EBIT Margin	-4%	4.4%	11.2%	19.1%	16.0%	19.1%	25.3%	28.7%	27.5%	24.6%	20.9%	17.9%	18.0%	17.2%	21.5%	22.3%	18.6%	21.3%	16.4%	22.2%	23.7%	22.1%
Pretax Income	(\$2)	4	16	53	57	87	183	289	381	397	383	368	423	460	715	897	819	1,334	1,333	2,176	2,576	2,483
Consolidated Net Income	(\$1)	1	8	32	41	58	122	185	271	280	239	266	303	259	484	646	589	975	855	1,550	1,815	1,741
Minority Interest	\$0	-	(0)	-	-	-	0	1	1	-	-	-	-	-	-	-	-	-	-	-	-	-
Net Income	(\$1)	1	8	32	41	58	122	184	271	280	239	266	303	259	484	646	589	975	855	1,550	1,815	1,741
Net Income Margin																						
Discontinued Operations					(1)	(1)	-	-	-	-	-	12.9%	12.9%	8.8%	14.7%	16.2%	12.4%	15.6%	10.5%	16.1%	17.1%	15.7%
Net Income available to Common	(\$1)	1	8	31	39	58	122	184	271	280	239	266	303	259	484	646	589	975	855	1,550	1,815	1,741

Figure 1 — Income Statement (Annual)

lululemon athletica inc.	JAN '23	JAN '24	APR '24	JUL '24	OCT '24	JAN '25	JAN '25	APR '25	JUL '25	OCT '25
	FY	FY	Q1	Q2	Q3	Q4	FY	Q1	Q2	Q3
Sales	\$8,111	9,619	2,209	2,371	2,397	3,611	10,588	2,371	2,525	2,566
QoQ growth %			11.0%	8.0%	8.0%		10.07%	7.32%	6.50%	7.06%
Comparable Sales growth %			7.0%	3.0%	3.0%			1.0%	1.0%	2.0%
Americas			1,622	1,741	1,770	6,158	7,928	1,675	1,758	1,733
QoQ growth %			4.0%	2.0%	2.0%			3.22%	0.96%	-2.09%
Comparable Sales growth %			0.0%	-2.0%	-2.0%			-1.0%	-3.0%	-5.0%
China Mainland			304	314	318	1,043	1,361	368	393	465
QoQ growth %			52.0%	37.0%	36.0%			21.17%	25.05%	46.18%
Comparable Sales growth %			33.0%	23.0%	24.0%			8.0%	16.0%	25.0%
Rest of World			283	315	308	991	1,299	328	374	367
QoQ growth %			30.0%	27.0%	23.0%			15.97%	18.59%	19.24%
Comparable Sales growth %			26.0%	20.0%	20.0%			7.0%	9.0%	9.0%
COGS	\$3,335	3,635	838	855	883	1,298	3,874	875	930	1,014
Gross Profit	\$4,775	5,984	1,371	1,516	1,514	2,314	6,715	1,496	1,595	1,552
Gross Profit Margin	59%	62%	62%	64%	63%	64%	63%	63%	63%	60%
Depreciation & Amortization Expense	\$292	379	96	104	114	134	447	115	120	127
Depreciation	\$283	374	96	104	112	132	444	113	118	126
Amortization of Intangibles	\$9	5	-	-	1	2	3	2	2	2
Gross Income	\$4,484	5,604	1,275	1,412	1,400	2,180	6,268	1,381	1,475	1,424
Gross Income Margin	55%	58.3%	57.7%	59.6%	58.4%	60.4%	59.2%	58.3%	58.4%	55.5%
QoQ growth %								8.3%	4.5%	1.7%
SG&A Expense	\$2,750	3,397	842	872	910	1,152	3,768	943	952	988
% of rev	34%	35.31%	38.14%	36.77%	37.96%	31.89%	35.59%	39.77%	37.69%	38.51%
YoY growth %								11.92%	9.14%	8.62%
EBITDA	\$2,025	2,587	528	644	604	1,162	2,946	553	644	563
EBITDA QoQ growth								13.9%	4.7%	0.0%
EBITDA Margin	25%	27%	24%	27%	25%	32%	28%	23%	25%	22%
EBIT (Operating Income)	\$1,734	2,208	433	540	491	1,029	2,500	439	524	436
Margin	21.4%	23.0%	19.6%	22.8%	20.5%	28.5%	23.6%	18.5%	20.7%	17.0%
QoQ growth %								1.4%	-3.0%	-11.2%
Pretax Income	\$1,333	2,176	456	558	504	1,058	2,576	450	534	442
QoQ growth %								-1.2%	-4.4%	-12.4%
Income Taxes	\$478	626	135	165	153	309	761	136	163	135
Consolidated Net Income	\$855	1,550	321	393	352	748	1,815	315	371	307
Net Income	\$855	1,550	321	393	352	748	1,815	315	371	307
Net Income Margin	11%	16.1%	14.6%	16.6%	14.7%	20.7%	17.1%	13.3%	14.7%	12.0%
Net Income available to Common	\$855	1,550	321	393	352	748	1,815	315	371	307
Per Share										
EPS (recurring)	\$9	12	3	3	3	6	15	2	3	3
EPS (basic)	\$7	12	3	3	3	6	15	3	3	3

Figure 2 — Income Statement (Quarterly)

lululemon athletica inc.		JAN '23 FY	JAN '24 FY	APR '24 Q1	JUL '24 Q2	OCT '24 Q3	JAN '25 Q4	JAN '25 FY	APR '25 Q1	JUL '25 Q2	OCT '25 Q3
Assets											
Cash & Short-Term Investments		\$1,155	2,244	1,901	1,610	1,188	1,984	1,984	1,325	1,156	1,036
Short-Term Receivables		\$133	125	126	126	143	120	120	141	139	250
Inventories		\$1,447	1,324	1,345	1,429	1,801	1,442	1,442	1,652	1,723	1,998
Other Current Assets		\$424	368	396	406	473	434	434	464	511	640
Total Current Assets		\$3,159	4,061	3,768	3,572	3,605	3,980	3,980	3,583	3,529	3,924
Net Property, Plant & Equipment		\$2,239	2,811	2,825	2,918	3,058	3,197	3,197	3,396	3,522	3,552
Intangible Assets		\$46	24	24	24	178	171	171	178	182	183
Deferred Tax Assets		\$6	9	9	9	9	17	17	18	21	22
Other Assets		\$156	187	202	222	233	238	238	256	269	275
Deferred Charges		\$115	134	144	153	155	162	162	169	176	183
Tangible Other Assets		\$41	53	58	69	77	76	76	88	92	92
Total Assets		\$5,607	7,092	6,828	6,744	7,084	7,603	7,603	7,431	7,523	7,955
Liabilities & Shareholders' Equity											
Current											
ST Debt & Curr. Portion LT Debt		\$208	249	254	278	290	275	275	282	298	317
Accounts Payable		\$173	348	262	317	386	271	271	304	373	352
Income Tax Payable		\$174	12	53	19	97	183	183	31	27	63
Other Current Liabilities		\$937	1,021	814	854	1,030	1,110	1,110	955	859	1,110
Total Current Liabilities		\$1,492	1,631	1,384	1,469	1,804	1,840	1,840	1,572	1,557	1,842
Long-Term											
Long-Term Debt		\$862	1,154	1,148	1,181	1,224	1,301	1,301	1,425	1,465	1,445
Deferred Tax Liabilities		\$55	30	29	29	33	98	98	98	62	112
Other Liabilities		\$49	45	48	34	37	41	41	45	52	54
Total Liabilities		\$2,458	2,860	2,609	2,712	3,098	3,279	3,279	3,141	3,136	3,453
Equity											
Common Equity		\$3,149	4,232	4,220	4,032	3,986	4,324	4,324	4,290	4,387	4,502
Common Stock Par/Carry Value		\$1	1	1	1	1	1	1	1	1	1
Additional Paid-In Capital/Capital Surplus		\$475	575	570	589	610	638	638	633	632	646
Retained Earnings		\$2,926	3,920	3,944	3,752	3,695	4,110	4,110	3,993	4,086	4,204
Cumulative Translation Adjustment/Unrealized For. Exch. Gain		(\$253)	(264)								
Other Appropriated Reserves				(295)	(310)	(320)	(424)	(424)	(337)	(331)	(349)
Total Shareholders' Equity		\$3,149	4,232	4,220	4,032	3,986	4,324	4,324	4,290	4,387	4,502
Total Equity		\$3,149	4,232	4,220	4,032	3,986	4,324	4,324	4,290	4,387	4,502
Total Liabilities & Shareholders' Equity		\$5,607	7,092	6,828	6,744	7,084	7,603	7,603	7,431	7,523	7,955

Figure 3 — Balance Sheet (Quarterly)

lululemon athletica inc.		JAN '06	JAN '07	JAN '08	JAN '09	JAN '10	JAN '11	JAN '12	JAN '13	JAN '14	JAN '15	JAN '16	JAN '17	JAN '18	JAN '19	JAN '20	JAN '21	JAN '22	JAN '23	JAN '24	JAN '25
		Restate																			
Assets																					
Cash & Short-Term Investments	\$4	16	53	57	160	316	409	590	699	665	502	735	991	881	1,094	1,151	1,260	1,155	2,244	1,984	
Cash Only	\$4	16	53	57	160	316	409	590	699	665	502	735	991	818	890	968	941	1,155	2,244	1,984	
Total Short-Term Investments	\$0	-	-	-	-	-	-	-	-	-	-	-	-	64	203	183	319	-	-	-	
Short-Term Receivables	\$2	3	4	4	8	9	5	6	12	14	13	9	19	36	40	76	77	133	125	120	
Accounts Receivables, Net	\$1	2	4	4	8	9	5	6	12	14	13	9	19	36	40	62	77	133	125	120	
Other Receivables	\$0	0	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Inventories	\$21	27	38	52	44	58	104	155	186	208	284	298	330	405	519	647	967	1,447	1,324	1,442	
Other Current Assets	\$1	3	6	4	5	6	8	35	46	65	118	120	97	107	156	251	312	424	368	434	
Prepaid Expenses	\$1	1	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Miscellaneous Current Assets	\$0	3	6	4	5	6	8	35	46	65	118	120	97	107	156	251	312	424	368	434	
Total Current Assets	\$27	49	100	117	216	389	527	787	943	951	917	1,163	1,436	1,429	1,808	2,124	2,615	3,160	4,061	3,980	
% of Total current assets excluding cash & i	28%	22%	18%	17%	13%	10%	12%	14%	15%	16%	20%	18%	17%	18%	22%	22%	25%	25%	19%	19%	
Net Property, Plant & Equipment (combi	\$10	19	44	62	62	71	163	215	298	296	350	423	474	567	672	746	928	1,270	1,546	1,781	
Property and equipment, net																					
Right-of-use lease assets																					
Property, Plant & Equipment - Gr	\$14	26	59	88	107	138	254	306	375	454	553	702	817	973	1,883	2,171	2,560	3,226	4,029	4,658	
Accumulated Depreciation	\$3	7	16	27	46	67	92	119	158	204	278	344	424	505	522	691	829	987	1,217	1,461	
Machinery & Equipment	\$0	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Computer Software and Equipm	\$1	1	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Leased Property	\$2	5	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Transportation Equipment	\$0	0	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Other Property, Plant & Equipm	\$0	1	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Total Long-Term Investments																					
Other Long-Term Investments																					
Intangible Assets	\$3	3	8	8	8	27	32	30	28	26	25	25	24	24	467	458	46	24	171		
Deferred Tax Assets	\$0	1	1	19	15	8	9	15	18	16	12	26	33	27	31	7	6	9	17		
Other Assets	\$1	0	2	6	2	4	4	4	4	5	7	11	21	31	37	56	107	132	156	238	
Total Assets	\$42	71	155	212	307	499	735	1,051	1,250	1,296	1,314	1,658	1,999	2,085	3,281	4,185	4,943	5,607	7,092	7,603	
Liabilities & Shareholders' Equity																					
Current																					
ST Debt & Curr. Portion LT Debt																129	166	189	208	249	275
Accounts Payable	\$6	5	5	5	11	13	15	1	13	9	10	25	25	96	80	172	290	173	348	271	
Income Tax Payable	\$1	9	6	2	8	18	9	40	1	20	38	30	16	67	26	8	134	174	12	183	
Other																					
Accrued Payroll			8	6	11	17	23	28	19	30	44	55	70	109	134	130	205	248	326	205	
accrued liabilities and others																					
undereemed gift card liability																					
other current liabilities																					
Miscellaneous Current Liabilities	\$6	17	17	32	29	37	57	65	81	101											
Total Current Liabilities	\$12	31	36	46	59	85	103	133	114	160	226	241	293	301	620	883	1,405	1,492	1,631	1,840	
% of current liabilities excluding short	32%	46%	31%	29%	28%	29%	26%	24%	16%	19%	21%	21%	23%	34%	28%	37%	46%	35%	34%	36%	
Long-Term																					
Long-Term Debt	\$0	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Capital and Operating Lease Obligations																					
Deferred Tax Liabilities	\$1	0	0	0	-	-	-	-	-	4	4	11	7	1	14	43	59	53	55	30	98
Other Liabilities	\$1	2	7	11	16	20	25	30	36	43	50	49	108	124	54	52	52	49	45	41	
Total Liabilities	\$14	33	43	57	74	105	129	164	153	207	287	298	402	639	1,329	1,627	2,202	2,458	2,860	3,279	
Equity																					
Preferred Stock (Carrying Value)	\$0	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Common Equity	\$28	37	112	155	233	390	601	887	1,097	1,090	1,028	1,360	1,597	1,446	1,952	2,559	2,740	3,149	4,232	4,324	
Total Shareholders' Equity	\$28	37	112	155	233	390	601	887	1,097	1,090	1,028	1,360	1,597	1,446	1,952	2,559	2,740	3,149	4,232	4,324	
Accumulated Minority Interest	\$0	1	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Total Equity	\$28	38	112	155	233	394	606	887	1,097	1,090	1,028	1,360	1,597	1,446	1,952	2,559	2,740	3,149	4,232	4,324	
Total Liabilities & Shareholders' Equity	\$42	71	155	212	307	499	735	1,051	1,250	1,296	1,314	1,658	1,999	2,085	3,281	4,185	4,943	5,607	7,092	7,603	
Per Share																					
Book Value per Share	\$0	0	1	1	2	3	4	6	8	8	7	10	12	11	15	20	21	25	34	36	
Tangible Book Value per Share	\$0	0	1	1	2	3	4	6	7	7	7	7	10	12	11	15	16	18	24	26	
All figures in millions of U.S. Dollar except per share items.																					

lululemon athletica inc.	JAN '05	JAN '06	JAN '07	JAN '08	JAN '09	JAN '10	JAN '11	JAN '12	JAN '13	JAN '14	JAN '15	JAN '16	JAN '17	JAN '18	JAN '19	JAN '20	JAN '21	JAN '22	JAN '23	JAN '24	JAN '25	OCT '25 LTM
Operating Activities																						
Net Income / Starting Line	(\$1)	1	8	32	41	58	122	184	271	280	239	266	303	259	484	646	589	975	855	1,550	1,815	1,741
Depreciation, Depletion & Amortization	\$1	2	5	8	16	21	25	30	43	49	58	73	88	108	122	162	185	224	292	379	447	494
Depreciation and Depletion	\$1	2	5	8	15	20	24	29	42	48	57	73	87	108	122	162	185	215	283	374	444	489
Amortization of Intangible Assets						1	1	2	1	1	1	1	1	1					9	5	3	7
Deferred Taxes & Investment Tax Credit	(\$0)	(0)	(3)	2	(6)	0	11	(1)	(6)	1	2	11	(18)	(11)	17	24	35	(5)	3	(28)	57	57
Deferred Taxes	(\$0)	(0)	(3)	2	(6)	0	11	(1)	(6)	1	2	11	(18)	(11)	17	24	35	(5)	3	(28)	57	57
Other Funds	\$0	3	4	3	(0)	8	(2)	4	5	(1)	6	8	10	29	7	32	42	66	414	196	6	(26)
Funds from Operations	\$0	6	13	46	50	87	156	217	312	328	308	358	384	365	630	863	851	1,260	1,563	2,097	2,325	2,267
Changes in Working Capital	\$6	(17)	13	(9)	(3)	31	24	(14)	(32)	(50)	9	(60)	1	105	113	(194)	(48)	129	(597)	199	(52)	(406)
Receivables	(\$0)	(0)	(2)	1	1	(3)	1	7														2
Inventories	(\$4)	(11)	(5)	(11)	(20)	11	(8)	(46)	(51)	(37)	(27)	(83)	(5)	(21)	(86)	(118)	(97)	(324)	(511)	67	(156)	(196)
Accounts Payable	(\$0)	5	(1)	1	5	6	(5)	8	(13)	12	(2)	1	14	(2)	72	(15)	83	118	(107)	177	(67)	(30)
Income Taxes Payable	(\$0)	0	9	(3)	(2)	6	15	(4)	31	(35)	19	14	(10)	(16)	53	40	(24)	121	36	(173)	157	(40)
Other Accruals	\$9	(11)	12	(0)	14	(4)	7	1	4	7	23	40	(8)	47	46	16	92	179	113	(1)	81	91
Other Assets/Liabilities	\$1	1	1	5	(1)	15	13	21	(3)	3	(5)	(37)	10	96	28	(37)	(102)	35	(128)	130	(79)	(105)
Net Operating Cash Flow	\$5	(10)	26	36	46	118	180	204	280	278	314	299	384	489	743	669	803	1,389	966	2,296	2,273	1,861
Investing Activities																						
Capital Expenditures	(\$4)	(8)	(12)	(35)	(44)	(15)	(43)	(122)	(93)	(106)	(120)	(143)	(150)	(158)	(226)	(283)	(229)	(395)	(639)	(652)	(689)	(733)
% of rev	\$0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Capital Expenditures (Fixed Assets)	(\$4)	(8)	(12)	(29)	(41)	(15)	(30)	(117)	(93)	(106)	(120)	(143)	(150)	(158)	(226)	(283)	(229)	(395)	(639)	(652)	(689)	(733)
Capital Expenditures (Other Assets)	\$0	-	-	(6)	(3)	-	(12)	(6)														
Net Assets from Acquisitions	\$0	(0)	(1)	-	-	-	-	-	-	-	-	-	-	-	-	-	(453)	-	-	-	(154)	(23)
Purchase/Sale of Investments	\$0	-	-	-	(3)	(1)	-	-	-	-	-	-	-	-	(7)	-	-	-	-	-	-	-
Purchase of Investments	\$0	-	-	-	3	1	-	-	-	-	-	-	-	-	7	-	-	-	-	-	-	-
Other Funds	\$0	-	-	(1)	-	-	-	-	-	-	-	-	-	-	(8)	(17)	5	(14)	(33)	69	(2)	45
Other Uses	\$0	-	-	(1)	-	-	-	-	-	-	-	-	-	-	(8)	(17)	-	(15)	(33)	-	(2)	(5)
Other Sources	\$0	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	5	1	-	69	50	47
Net Investing Cash Flow	(\$4)	(8)	(13)	(35)	(47)	(16)	(43)	(122)	(93)	(106)	(120)	(143)	(150)	(173)	(243)	(278)	(696)	(428)	(670)	(654)	(798)	(712)
Financing Activities																						
Cash Dividends Paid	\$0	(69)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Common Dividends	\$0	(69)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Change in Capital Stock	\$0	93	0	31	1	1	6	10	11	8	(145)	(269)	(22)	(95)	(581)	(155)	(48)	(794)	(432)	(516)	(1,617)	(1,224)
Repurchase of Common & Preferred Stk.	\$0	-	-	-	-	-	-	-	-	-	(147)	(274)	(29)	(100)	(598)	(173)	(64)	(813)	(444)	(559)	(1,637)	(1,242)
Sale of Common & Preferred Stock	\$0	93	0	31	1	1	6	10	11	8	3	5	7	6	18	18	15	18	12	42	20	18
Proceeds from Sale of Stock	\$0	93	0	31	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Proceeds from Stock Options	\$0	-	-	0	1	1	6	10	11	8	3	5	7	6	18	18	15	18	12	42	20	18
Issuance/Reduction of Debt, Net	\$1	(4)	0	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Change in Current Debt	(\$0)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Change in Long-Term Debt	\$1	(4)	0	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Issuance of Long-Term Debt	\$4	8	0	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Reduction in Long-Term Debt	(\$3)	(12)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other Funds	\$0	-	-	-	12	(4)	8	6	(17)	1	(5)	(4)	(2)	(3)	(10)	(22)	(32)	(51)	(35)	(33)	(35)	(39)
Other Uses	\$0	-	-	-	12	(4)	8	6	(17)	1	(5)	(4)	(2)	(3)	(10)	(22)	(32)	(51)	(35)	(33)	(35)	(39)
Other Sources	\$0	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net Financing Cash Flow	\$1	20	1	31	13	(3)	14	15	(6)	9	(149)	(274)	(25)	(98)	(590)	(177)	(81)	(645)	(467)	(549)	(1,653)	(1,263)
All Activities																						
Exchange Rate Effect	(\$0)	(0)	(1)	4	(9)	4	6	(4)	(1)	(72)	(80)	(45)	23	38	(19)	(2)	30	(7)	(34)	(4)	(82)	(39)
Net Change in Cash	\$3	1	12	37	4	103	157	93	181	108	(34)	(163)	233	266	(109)	212	57	109	(105)	1,089	(260)	(153)
Free Cash Flow	\$2	(18)	13	7	6	102	150	87	187	172	195	155	235	331	517	386	574	995	328	1,644	1,583	1,128
Free Cash Flow per Share	\$0	(0)	0	0	0	1	1	1	1	1	1	1	2	2	4	3	4	8	3	13	13	10
Free Cash Flow Yield (%)						0	1	5	3	1	2	3	2	2	3	3	1	1	2	1	3	3

All figures in millions of U.S. Dollar except per share items.

Figure 5 — Cash Flow Statement

Sales Analysis

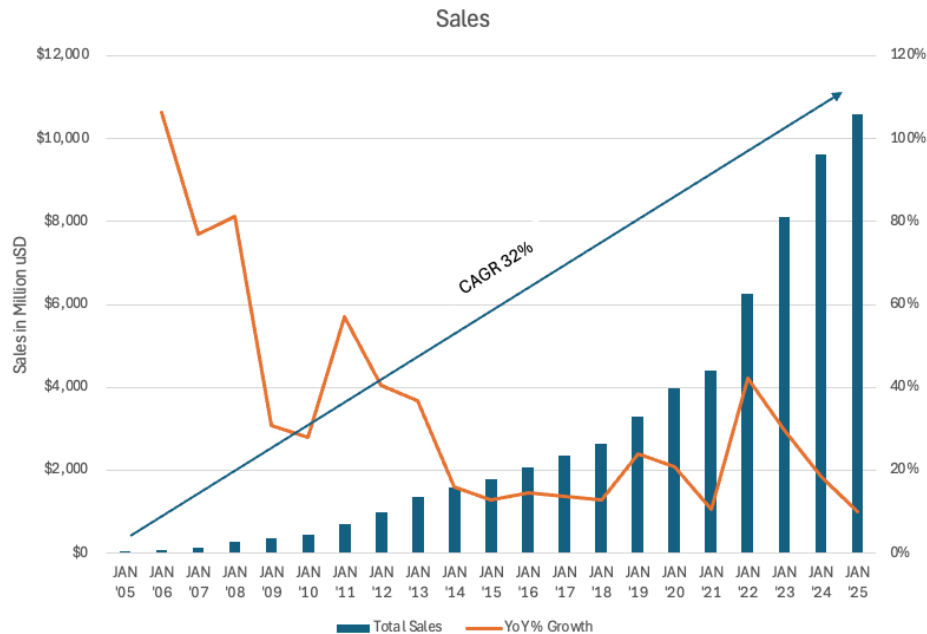


Figure 6 — Net Sales & 20-Year CAGR

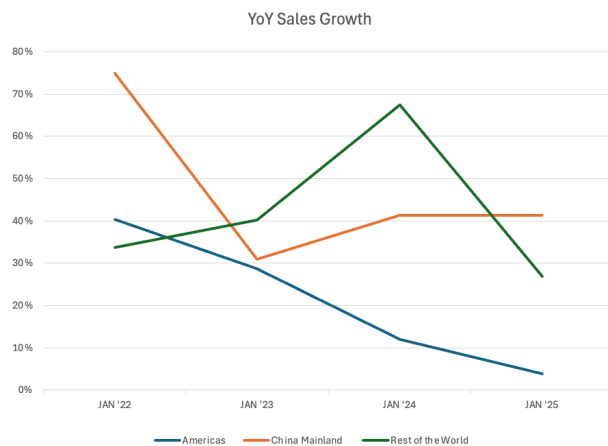


Figure 7 — YoY Sales Growth

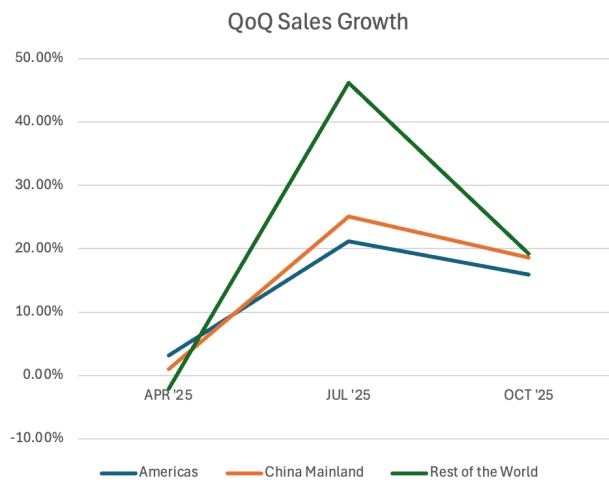


Figure 8 — QoQ Sales Growth

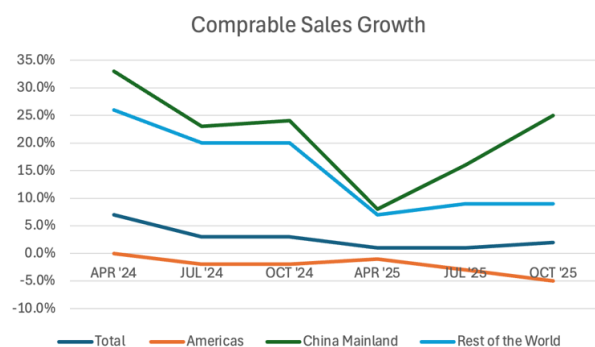


Figure 9 — Comparable Sales Growth

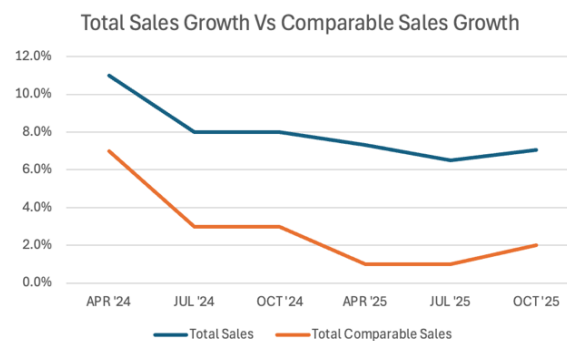


Figure 10 — Total vs. Comparable Sales

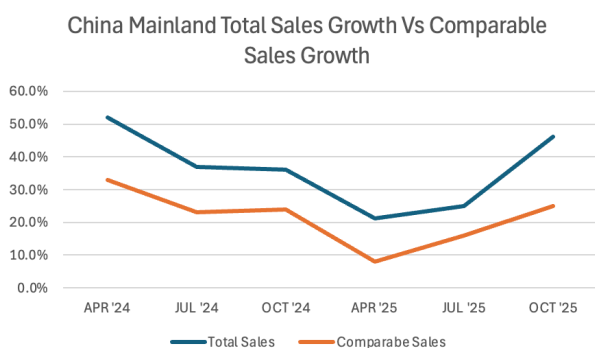


Figure 11 — Mainland China: Total vs. Comparable

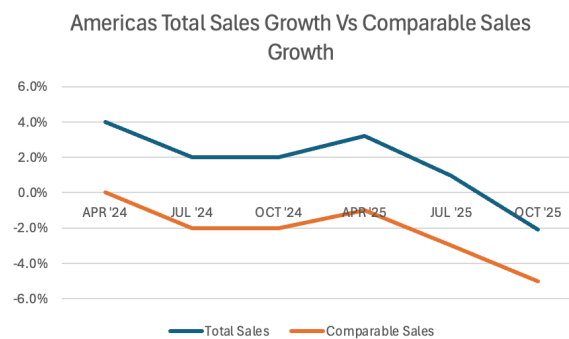


Figure 12 — Americas: Total vs. Comparable

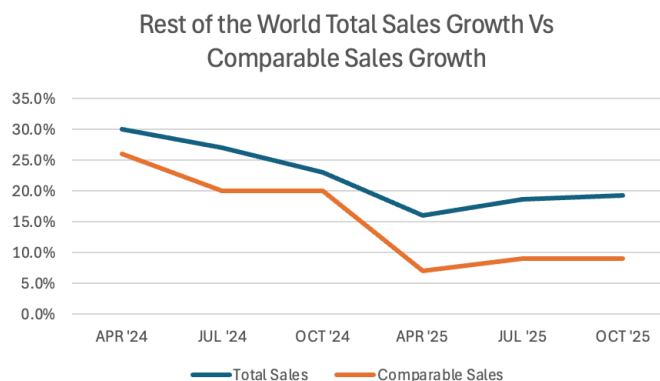


Figure 13 — Rest of World: Total vs. Comparable

Over the past 20 years, the company has delivered a strong sales CAGR of approximately **32%**, demonstrating its ability to consistently acquire new customers and drive top-line growth over an extended period.

More recently, growth in the Americas has decelerated. In fiscal 2023 and 2024, regional sales increased approximately **12%** and **4%** year-over-year, respectively, reflecting a slowdown in the company's largest market. This is also visible in comparable sales, which declined in six of the past seven quarters; the weakest performance came in Q3 2025, when Americas comparable sales fell approximately **5%**.

In contrast, international markets continued to deliver robust growth. Mainland China and Rest of World achieved sales CAGRs of approximately **37.8%** and **43.8%**, respectively, over the past three years. Unlike the Americas, comparable sales growth in these regions tracked closely with total sales over the past six quarters, indicating expansion driven primarily by underlying demand rather than store openings alone.

Overall, the divergence between the Americas and international markets highlights the company's increasing reliance on global growth to offset near-term softness in its core U.S. business.

Revenue Channels & Geography

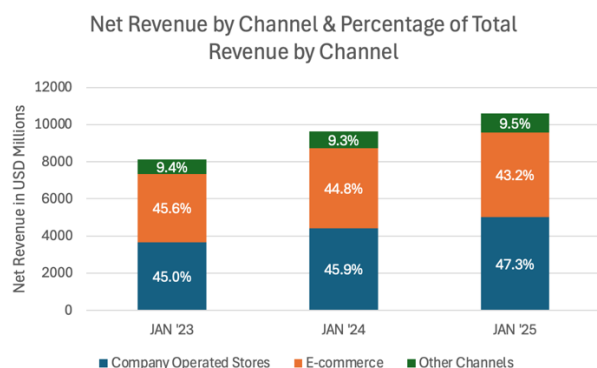


Figure 14 — Net Revenue by Channel (Annual)

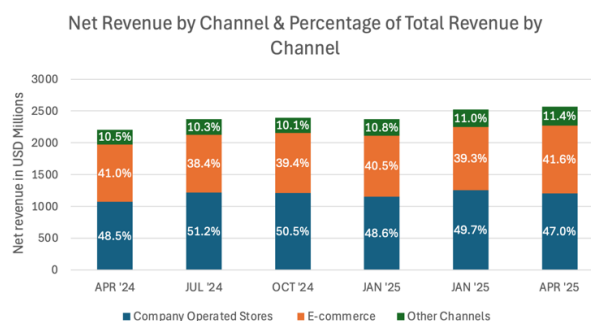


Figure 15 — Net Revenue by Channel (Quarterly)

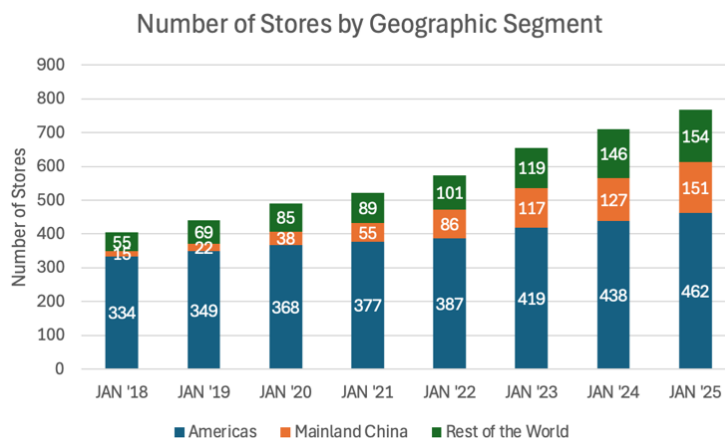


Figure 16 — Stores by Geographic Segment

Revenue remains well diversified across channels, with company-operated stores representing the largest share of total revenue, followed by e-commerce, which remains a meaningful and stable contributor. While e-commerce's share has moderated slightly, absolute revenue across all channels continues to grow, indicating balanced omnichannel demand rather than channel substitution.

Geographically, store expansion has been broad-based: the Americas remain the largest footprint, while Mainland China and Rest of World account for a growing share of total stores. This highlights Lululemon's continued focus on international growth in higher-growth markets while maintaining a strong, stable domestic base.

Margins & Profitability

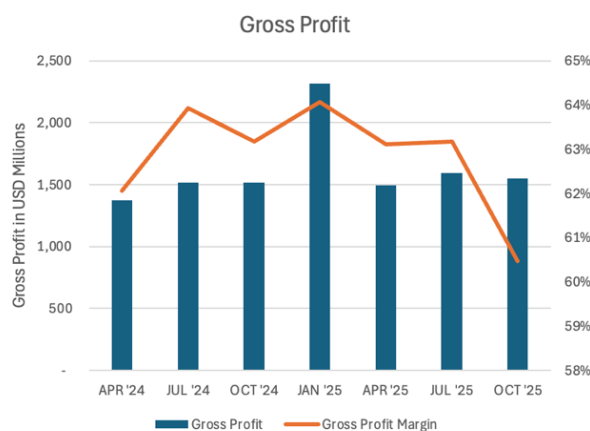


Figure 17 — Gross Profit (Recent Quarters)



Figure 18 — Gross Profit (Long-Term)

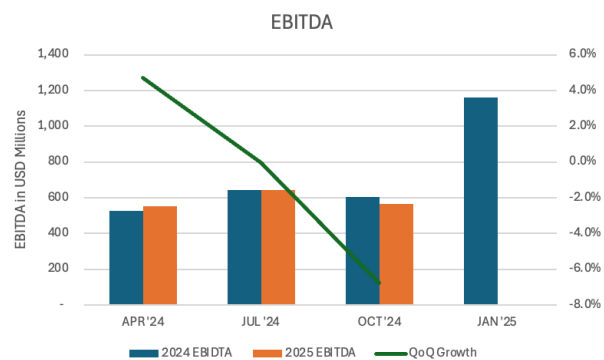


Figure 19 — EBITDA (Recent Quarters)

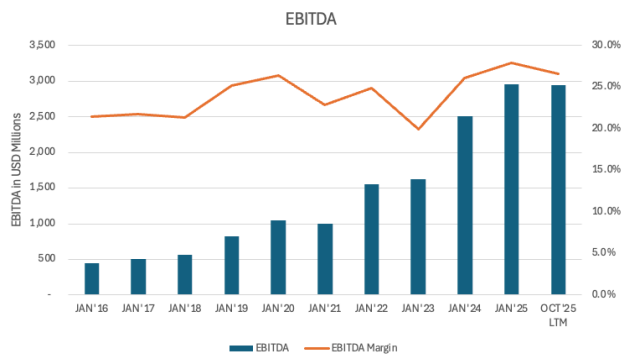


Figure 20 — EBITDA (Long-Term)

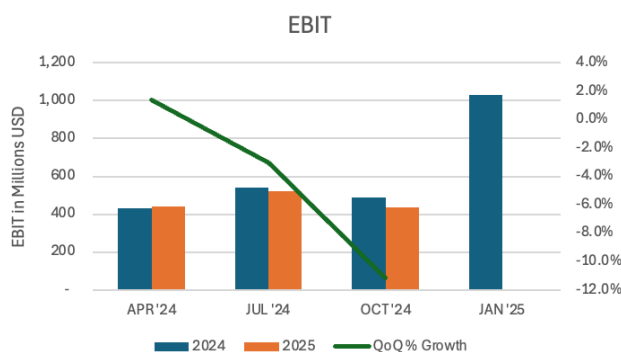


Figure 21 — EBIT (Recent Quarters)

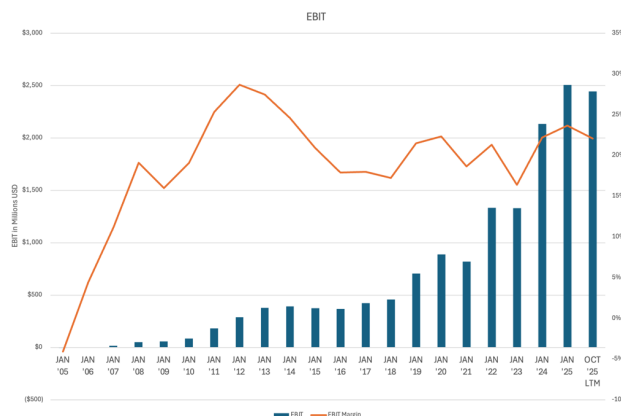


Figure 22 — EBIT (Long-Term)

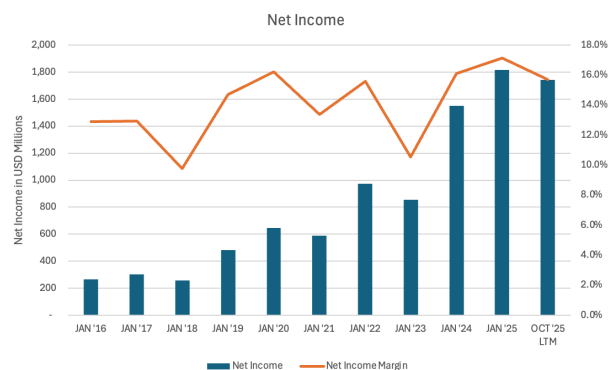


Figure 23 — Net Income (Recent Quarters)

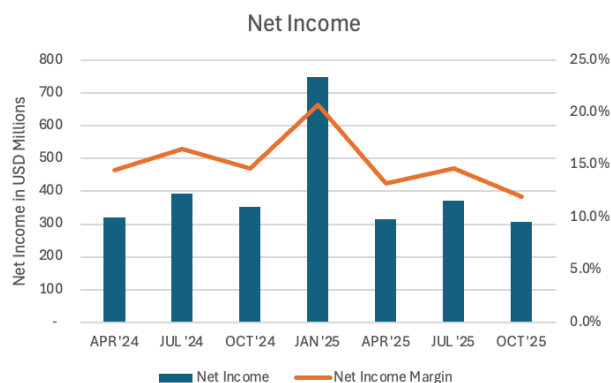


Figure 24 — Net Income (Long-Term)

Lululemon has demonstrated strong long-term profitability expansion, supported by consistent gross-margin improvement and operating leverage. Over the past decade, gross profit has increased steadily, reflecting both sustained revenue growth and the company's ability to maintain premium pricing. Gross margin has trended upward over time, underscoring pricing power, disciplined inventory management, and favorable product mix.

In the most recent quarters, gross-profit growth has moderated alongside slower sales momentum, particularly in the Americas. While gross margin remains structurally elevated, recent quarter-to-quarter fluctuations reflect the impact of tariffs, as COGS has increased faster than sales. Lululemon's suppliers and manufacturers are primarily

located in APAC and Mainland China; the tariff hit to income from operations is expected to be approximately **\$210 million for 2025**, net of mitigation efforts. Even so, margins remain well above industry averages.

EBITDA growth over the long term has been robust, highlighting the scalability of the business model. Near-term EBITDA growth has shown increased volatility, with quarter-over-quarter growth turning negative in recent periods, reflecting slower revenue growth combined with higher COGS. Absolute EBITDA nonetheless remains near historical highs, suggesting margin compression is cyclical rather than structural.

EBIT performance mirrors EBITDA, with long-term operating-income expansion driven by revenue growth and operating leverage. Recent quarters show pressure on EBIT growth, particularly quarter-over-quarter, as fixed costs weigh more heavily amid softer top-line growth, though EBIT margins remain healthy relative to history. SG&A expense rose **8.6%** year-over-year, from \$909.8M to \$988.3M, and now represents **38.5%** of net revenue, driven by higher employee costs, increased digital-marketing spend, and growth in head-office, brand, community, and technology investments.

Net income has continued to trend upward over the long term, supported by strong operating performance and disciplined cost control. While quarterly growth has fluctuated, margins remain resilient, reflecting Lululemon's ability to convert revenue into earnings despite a more challenging demand environment.

Overall, the profitability profile reinforces the view that Lululemon remains a high-quality, structurally profitable business, with near-term margin volatility driven by cyclical pressures.

Returns on Capital

Methodology

- $ROTCE = EBIT / (NWC + NFA)$
- $NWC = \text{current assets (excl. cash)} - \text{current liabilities (excl. short-term debt)}$
- $ROIC = EBIT \times (1 - \text{tax rate}) / [(\text{assets} - \text{cash}) - \text{non-interest-bearing current liabilities}]$

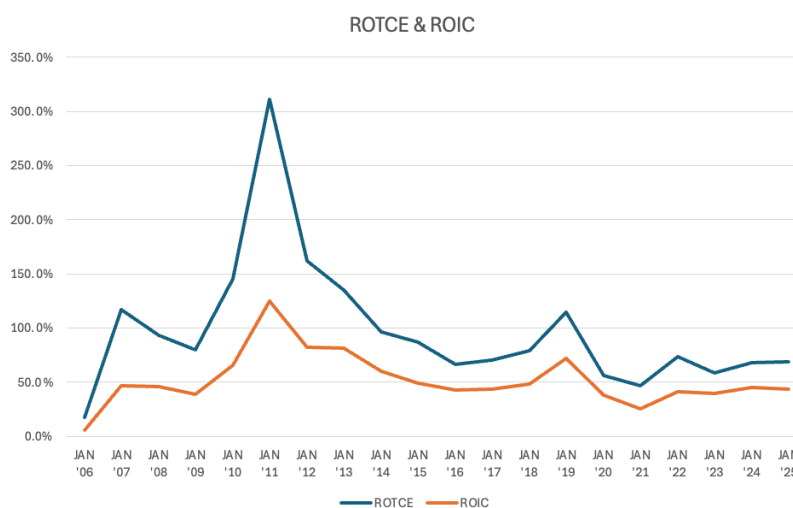


Figure 25 — ROTCE & ROIC Over Time

Lululemon has consistently generated strong returns on capital, highlighting the efficiency of its business model and its ability to convert operating performance into value creation. Returns peaked in the early 2010s and have since normalized as the company scaled its store base and international operations. Despite this moderation, both ROTCE and ROIC remain structurally attractive and well above typical retail benchmarks.

In recent years, returns have stabilized at lower but still-elevated levels, reflecting a more mature growth profile and increased investment to support long-term expansion. Importantly, current return levels remain comfortably above the company's cost of capital, indicating continued value creation despite near-term operational headwinds.

Valuation

Target price per share

- **Public Company Comparables: \$534**
- **Discounted Cash Flow: \$205**
- **Assumed acquisition price: \$205**
- The target price is **primarily based on the DCF analysis.**

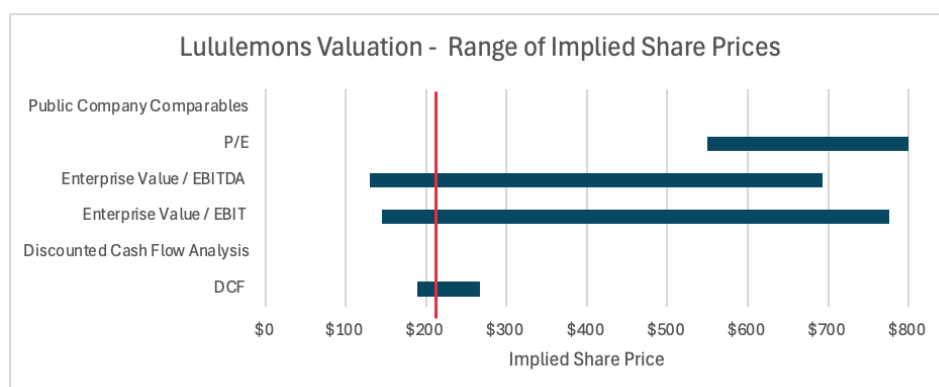


Figure 26 — Valuation Football Field — Range of Implied Share Prices

Public Company Comparables

Company Name	Market Cap	Price	52 Week High	P/E Ratio	Revenue	2023	2024	Revenue CAGR Past 3 years	Revenue CAGR past 5 years
lululemon athletica	25,440.3	210	423	15.07x	9,619	10,588	19.17%	21.6%	
On Holding A	17,293.0	49	64	60.68x	51,386	2,632	49.23%	57.9%	
NIKE B	97,442.3	64	82	38.32x	5,694	46,402	-0.28%	4.4%	
Under Armour A	2,517.6	6	9	1.994	5,165		-3.17%	-0.3%	
Average	39,084.3			49.5	19,691	18,066	15%	21%	

Company Name	EV	EBITDA LTM-Oct	EBIT LTM-Oct	Enterprise Value/ EBITDA LTM	Enterprise Value/EBIT D/E LTM
lululemon athletica	24,404	2,940	2,445	8.30x	9.98x
On Holding A	16,094	558	415	28.84x	38.83x
NIKE B	97,112	3,634	2,868	26.72x	33.86x
Under Armour A	2,703	495	369	5.46x	7.33x
Average	38,636	1,562	1,217	20.34x	26.67x

EBITDA Multiple Valuation	493
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Figure 27 — Public Company Comparables

The public-company comparables analysis implies a target price of approximately **\$534**, calculated using average valuation multiples given the high dispersion across peers and the limited number of comparables (which makes the median less representative). I do not view this as the most appropriate indicator of fair value, given limitations in peer-group selection: several of Lululemon's most direct competitors, such as Alo and Vuori, are privately held and unsuitable for direct comparison.

The publicly traded peers operate within the broader athletic-apparel category but differ meaningfully in positioning and product mix. Nike and Under Armour are more focused on mass-market athletic apparel than premium or luxury athletic wear, limiting comparability to Lululemon's brand positioning and pricing. On Holding, while relevant as a

premium performance brand, is more concentrated in footwear and appears earlier in its growth cycle, which likely explains its elevated multiples.

As a result, the implied valuation from the comparables likely overstates fair value and should be interpreted with caution. Accordingly, greater weight is placed on the discounted cash flow analysis, which more directly reflects company-specific fundamentals and long-term growth assumptions.

Discounted Cash Flow Analysis

Unlevered DCF														
	2021	2022	2023	2024	2025 Q1+Q2+Q3	Q4E	2026E	2027E	2028E	2029E	2030E	2031E	2032E	TV
Total Sales	\$6,257	8,111	9,619	10,589	7,462	3,500	11,168	11,532	11,923	12,343	12,710	13,099	13,512	
Americas	\$5,300	6,817	7,632	7,928	5,166		8,007	8,088	8,168	8,250	8,333	8,416	8,500	
YoY % Growth		29%	12%	4%										
China Mainland	\$520	682	964	1,361	1,226		1,617	1,763	1,922		2,095	2,199	2,309	2,425
YoY % Growth		31%	41%	41%										
Rest of the world	\$436	611	1,024	1,299	1,069		1,543	1,682	1,833	1,998	2,178	2,374	2,588	
YoY % Growth		40%	67%	27%										
COGS	\$2,648	3,618	4,010	4,320	2,819	1,383	5,137	5,305	5,485	5,678	5,847	6,026	6,216	
Gross Profit	\$3,609	4,492	5,609	6,269	4,643		6,031	6,227	6,439	6,665	6,863	7,074	7,297	
D&A	\$224	292	379	447	362	170	496	521	545	569	594	619	644	
SG&A	(\$395)	(639)	(652)	3,768	2,883	1,018	3,873	3,999	4,135	4,281	4,408	4,543	4,686	
EBIT	\$1,333	1,328	2,133	2,500	1,398	930	2,158	2,228	2,303	2,385	2,455	2,531	2,610	
EBIT Margin							19%	19%	19%	19%	19%	19%	19%	
EBIT * (1-Tax Rate)	\$939	935	1,501	1,760	984	651	1,519	1,568	1,622	1,679	1,729	1,782	1,838	
D&A	\$224	292	379	447	362	170	496	521	545	569	594	619	644	
Current assets	\$1,355	2,005	1,817	1,996	2,888	2,150	2,190	2,261	2,338	2,420	2,492	2,569	2,650	
Current liabilities	\$1,216	1,284	1,382	1,564	1,525	1,525	1,936	1,999	2,067	2,140	2,203	2,271	2,342	
NW	\$139	720	435	431	1,363	625	254	262	271	281	289	298	307	
CNW		582	(286)	(3)	932	(738)	5	8	9	10	8	9	9	
CapEx	(\$395)	(639)	(652)	(689)	(497)	(229)	(740)	(764)	(790)	(818)	(842)	(868)	(895)	
FCF	\$768	7	1,515	1,520	(82)	1,330	1,271	1,317	1,368	1,421	1,473	1,524	1,577	24,751
DFCF						1,316	1,208	1,153	1,104	1,057	1,010	963	919	14,417
EV				23,065										
Implied Equity Value				25,049										
per share				205										

Figure 28 — Unlevered DCF

Figure 29 — Revenue & Operating Assumptions

Revenue Assumptions	
americas	1%
china	9%
china after 5 years	5%
rest	9%
CapEx	6.6%
tax Rate	30%
WACC	8.50%
Growth rate	3%
Terminal growth rate	2%
D&A % of rev	90%
	10%
	40%
number of shares	122

For the DCF, I assume **1% revenue growth** in the Americas, reflecting the recent decline in comparable-store sales and ongoing innovation challenges over the past two years. For Mainland China, I model **9% revenue growth** over the next five years, followed by **5% growth** in years six and seven, capturing continued expansion while allowing for gradual normalization after three years of 30–40% growth driven by both comparable-sales gains and store expansion. For the Rest of World, which has seen similar growth to China but slowed over the past two years, I adopt a more conservative **9% growth rate** given current geopolitical tensions and global tariffs.

The valuation applies a **WACC of 8.5%** and a **terminal growth rate of 1%**. Based on these assumptions, the DCF yields a target price of approximately **\$205 per share**.

Sensitivity Analysis

DCF output is most sensitive to the assumed cost of capital and long-run growth rates. The tables below show implied per-share value across a range of assumptions for the terminal growth rate and for medium-term Americas and China growth, holding other inputs constant.

W A C C	Terminal Growth Rate					
	205.3	1%	1.50%	2%	2.50%	3%
	7%	229	243	259	278	303
	7.50%	214	225	238	253	272
	8%	200	209	220	233	248
	8.50%	189	196	205	216	228
	9%	178	185	193	201	212
	9.50%	169	175	182	189	198
	10%	162	166	172	178	186

Figure 30 — Sensitivity — Terminal Growth Rate vs. WACC

W A C C	Americas Next Five Years Growth Rate							
	205.32	-2%	-1%	0%	1%	2%	3%	4%
	7%	241	247	253	259	265	272	279
	7.50%	222	227	232	238	243	249	256
	8%	206	210	215	220	225	231	237
	8.50%	192	197	201	205	210	215	220
	9%	181	185	188	193	197	202	206
	9.50%	171	174	178	182	186	190	194
	10%	162	165	168	172	176	180	184

W A C C	China Next Five Years Growth Rate							
	205.32	6%	7%	8%	9%	10%	11%	12%
	7%	255	256	257	259	260	261	263
	7.50%	234	235	236	238	239	240	241
	8%	217	218	219	220	221	222	224
	8.50%	202	203	204	205	206	207	209
	9%	190	191	192	193	194	195	196
	9.50%	179	180	181	182	183	183	184
	10%	170	170	171	172	173	174	175

Figure 31 — Sensitivity — Americas & China Growth vs. WACC

Investment Thesis

Lululemon's stock has experienced a significant decline over the past year, driven primarily by a slowdown in comparable sales in the Americas, the company's largest market. While this weakness has weighed on recent share performance, I view the current period as **cyclical rather than structural** and believe the company is well positioned to reaccelerate growth over the medium term.

Lululemon remains the market leader in premium athletic apparel, having played a central role in shaping and expanding the luxury athleisure category. Despite increased competition and recent concerns around product innovation, the company continues to benefit from a powerful global brand, industry-leading margins, and strong customer loyalty — advantages that position it to defend its leadership and maintain pricing power over time.

International expansion is a key long-term growth driver. The China market has delivered a sales CAGR of **37.8%** over the past three years, significantly outpacing the broader company average, and the premium athletic-apparel segment in China continues to exhibit strong secular growth, with forecasts projecting roughly **9% annual growth**. Lululemon's Rest of World segment has achieved a three-year CAGR of **43.8%**, highlighting substantial growth potential outside North America.

Recent management changes further strengthen the long-term outlook. Management's willingness to acknowledge recent innovation gaps and take decisive action provides confidence in the company's commitment to restoring product leadership and sustaining growth over time.

Finally, the **men's apparel segment** represents an underpenetrated opportunity with meaningful upside; continued expansion in men's offerings should support incremental revenue growth and further diversify the company's revenue base.

Catalysts

- **Management transition.** Appointment of a new CEO with a proven track record of driving operational turnarounds could act as a positive sentiment catalyst, particularly if accompanied by a credible strategic roadmap.
- **Tariff-headwind normalization.** A reduction in market concern around tariffs and their impact on Lululemon's cost structure could support valuation-multiple expansion, especially if input-cost pressures continue to ease.
- **Reacceleration of Americas comparable sales.** Improvement in Americas comparable sales, driven by successful new product launches and increased penetration in the men's category, would represent a meaningful upside catalyst.

Investment Risks

- **Macroeconomic sensitivity.** Any deterioration in U.S. economic conditions that negatively impacts consumer spending could materially affect Lululemon, which sells premium apparel at relatively high price points, making demand more sensitive to downturns as consumers cut discretionary spending.
- **Product-innovation risk.** Recent challenges have been driven in part by intensifying competition and slower product innovation. A failure to consistently introduce compelling new collections or refresh core lines could weaken brand relevance and erode the company's premium positioning.
- **Competitive pressure.** Competitors such as Alo and Vuori have gained meaningful market share in recent years, increasing pressure on Lululemon. If LULU is unable to defend its leadership in premium athletic apparel, long-term growth and profitability could be negatively impacted.